MERIDIAN TRUST BANK LTD.

Head Office

Circular No.	LAS/2026/01
Date	05 January 2026
Issued by	Retail Assets Department
Subject	**Loan Against Securities (LAS): Policy and Operating Guidelines**

1. Purpose

Loans against securities are granted to individuals for personal and business needs. The facility shall not be used for speculative purposes or for the purchase of further securities.

2. Eligible securities and loan-to-value (LTV) ratio

Only securities held in dematerialised form and pledged in favour of the Bank are accepted.

Security type	Maximum LTV (loan as % of market value)
Listed equity shares (Bank's Approved List, Group A only)	50%
Equity-oriented mutual fund units	50%
Debt mutual fund units	75%
Government securities and listed bonds	80%

3. Loan amount and tenure

Minimum loan: Rs. 50,000. Maximum loan: Rs. 20 lakh against shares, and Rs. 1 crore against mutual fund units and bonds. The facility is sanctioned as an overdraft for 12 months, renewable annually.

4. Valuation and margin call

Pledged securities are valued **daily** at the previous trading day's closing price (net asset value for mutual funds). When the LTV exceeds the permissible limit by more than **10 percentage points** (for example, above 60% for equity shares), a margin call is issued to the borrower. The borrower must restore the margin within **7 working days** by pledging additional securities or repaying part of the loan, failing which the Bank may sell the pledged securities without further notice.

5. Concentration limits

A borrower may pledge shares of a maximum of **10 companies**. Shares of a single company must not exceed 25% of the total value of securities pledged.

6. Interest and charges

Interest: **11.25% per annum** (floating, reviewed quarterly), charged monthly on the daily outstanding balance. Processing fee: 0.50% of the sanctioned limit, minimum Rs. 1,000 and maximum Rs. 10,000.

7. Controls

Every pledge creation, invocation and release must be authorised by two officials under the maker-checker principle. Daily exception reports of margin shortfalls must be reviewed by the branch manager.

General Manager, Retail Assets
Meridian Trust Bank Ltd.

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